

Unit 9**New Economic Policy****Structure:**

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9.1 Introduction

You all know that the Britishers ruled our country for more than two hundred years and used our resources for their benefit. At the time we got our independence, capital was scarce in our country and the base of entrepreneurship was very weak. Hence after independence, India followed conservative policies for planned growth. India had commenced upon its journey to economic development on the path of socialistic pattern of society. The public sector was made the main instrument of growth and was given a much greater importance. Private sector was largely kept under government control. The fiscal policy was framed to mobilize resources from the private sector to finance public investment. Foreign trade policy was formulated to protect the domestic industry.

In 1948, India's first industrial Policy was unveiled, immediately after independence, and in 1956 a second and more comprehensive industrial policy was announced after the adoption of Constitution. Industrial policy means rules, regulations, principles and procedures laid down by the government for regulating, developing, and controlling industrial undertakings in the country. These policies have substantially regulated the business environment in the country till date. It is essential to understand these Policies before studying the new economic policy of 1991.

Objectives:

After studying this unit, you should be able to:

- explain the background for the adoption of the New Economic Policy.
- list the various industrial policies developed in the post-independence period
- identify shift from public sector to private sector after the adoption of the new economic policy.
- describe the positive and negative effects of the new economic policy.

9.2 Industrial Policy

Industrial Policy refers to the policies governing business. As India moved from a dominant role of public sector to a more open and globalized environment, the role of the private sector in business increased. The Industrial Policy Resolutions give the focus of business enterprise.

9.2.1 Industrial Policy Resolution, 1948

The first industrial policy itself paved the way for a mixed socialist economy. It was issued by the government of India on April 6, 1948. It accepted the existence of both public and private sectors in the economy. It acknowledged the role of the State in industrialization and regulation of the private sector. It also accepted the role of small and cottage industries in the development of local resources and for creation of employment opportunities. It advocated strict regulation of foreign capital. This policy divided the industries into four broad categories.

- Industries where the state had a monopoly:*** Three industries were put under this category: Arms and Ammunition, Atomic energy, and Rail transport.

- b. **New investment by State:** Six industries were specified under this: coal, iron and steel, aircraft manufacturing, ship building, manufacture of telephone, telegraph, and wireless apparatus (excluding radio sets) and mineral oil. However, existing private sectors were allowed to continue for ten years after which the government could review the situation and acquire any undertaking after paying compensation on a fair and equitable basis.
- c. **The field of government control:** Eighteen industries of national importance were included in this category. The government did not undertake the responsibility of developing these industries but considered them of such importance that, their regulations and directions were necessary. Some of these industries were automobiles, heavy chemicals, heavy machinery, machine tools, fertilisers, electrical engineering, sugar, paper, cement, cotton, and woolen textiles.
- d. **Industries open to private sectors:** The remaining of the industrial field was open to the private sector. However, the State could take over any industry in this sector also if its progress was unsatisfactory.

With these provisions, the Industrial Policy (1948) laid the foundations of a mixed economy in India.

Self Assessment Questions

Fill in the blanks

1. In reference to Industrial Policy Resolution of 1948, the government recognized the need for a _____ economy.
2. According to IPR, 1948, the government reserved _____ only for arms and ammunition, atomic energy, and railways.
3. Under IPR 1948, the government had the exclusive rights to initiate projects in _____ industries and could regulate and license _____ other industries of national importance.

9.2.2 Industrial Policy Resolution - 1956

In 1956, the earlier policy (1948 policy) was revised and a new Industrial Policy Resolution was announced. By 1956, the first five year plan was over and we had entered into the era of the second five year plan. Our government had realized the need for (i) rapid industrialization of the economy through the expansion of public sector, (ii) rapid growth of capital

goods and heavy industries, (iii) prevention of monopolistic tendencies in the economy, and (iv) dispersal of industries towards the backward region.

This policy also laid emphasis on the establishment of a socialist pattern of society. The 1956 resolution laid down the following objectives for the industrial policy.

- i) To accelerate the rate of growth and speed up industrialization.
- ii) To expand the public sector.
- iii) To develop heavy and machine industry.
- iv) To prevent monopolies and concentration of wealth and income in the hands of a small number of individuals.
- v) To reduce disparities in the distribution of income and wealth.
- vi) To build up a large and growing co-operative sector.
- vii) To expand cottage and small – scale industry.
- viii) To achieve balanced regional development and other socio-economic objectives.

Features of the Policy

The main features of the Industrial Policy Resolution (1956) can be summarized as follows.

i) Classification of industries

To attain these objectives, the public sector was given an increasing role to play. The 1956 resolution divided industries into three categories. These categories are:

a) Schedule A (Monopoly of the State)

The industries in this list would be the exclusive responsibility of the State. The 17 industries listed in these categories are: arms and ammunitions, atomic energy, iron and steel, heavy castings, coal, mineral oil, air transport, railway transport etc.

b) Schedule B (Mixed Sector of Public and Private Enterprises)

In this section 12 industries were included. These will be progressively State owned and where the State would generally set up new industries, but in which private enterprises would be expected only to supplement the effort of the State.

Minerals, road transport, sea transport, antibiotics and other essential drugs, etc., are included here. In these industries, the state would increasingly

establish new units and increase its participation but would not deny the private sector opportunities to set up units or expand existing units.

c) Schedule C (Industries left to the private sector)

All remaining industries and their development were left to the private sector.

ii) Encouraging small and village industries

The 1956 policy provided for rapid growth of villages and small industries. The State would concentrate on measures designed to improve the competitive strength of the small scale producers by constantly improving and modernizing the technique of production.

iii) Removing Regional disparities

To remove regional disparities, this policy emphasized balanced regional growth. For this, it encouraged the establishment of industries in backward areas. The resolution fully supported the idea that by securing a balanced co-ordinated development of industrial and agricultural economy in each region, the entire economy can attain higher levels of standards of living.

iv) Provision of amenities for labour

This policy intended to improve the working conditions of labourers and expected industries to take care of the working conditions of labour and to ensure industrial peace. The Resolution expected that the enterprises in the public sector should set an example in this respect.

v) Attitudes towards foreign capital

This accepted the importance of foreign capital in national development but maintained that the major interest and effective control should always be with Indians. The government recognized the need for securing the participation of foreign capital and enterprise particularly as regards industrial technique and knowledge so as to foster the pace of industrialization of the Indian economy.

vi) Fair and non-discriminatory treatment for the private sector

The state accepted the role of the private sector and established and encouraged financial institutions to provide assistance to the private sector. It promoted the private sector to work together as a manufacturer and supplier and also as a user of by-products. The State was to facilitate and encourage the development of industries in the private sector by ensuring

the development of transport, power, and other services, and by appropriate fiscal and other measures.

The 1956 industrial policy has been severely criticized on the basis that it laid too much emphasis on the public sector and restricted the development of private sector. The private sector lost interest in long term and big projects as it was apprehensive that private sector would be further squeezed. This feeling got enhanced as the State declared it could undertake any industry as and when it found suitable to do so. This restricted the growth of private sector. In the name of alleviating regional disparities, projects were established in locations that were not economically viable and only increased the cost of production.

Self Assessment Questions

4. The IPR, 1956 laid down three categories, of which Schedule A included industries exclusively as State responsibility. (True/ False)
5. The IPR, 1956 emphasized the role of large scale industries in the development of the economy and providing employment. (True/ False)
6. The IPR 1956 put too much of importance on the public sector. (True/ False)

9.2.3 Industrial Policy 1977

In March 1977 the first non-Congress government came to power at the centre. Instead of heavy industries, the Janata government put more emphasis on small scale industries to curb unemployment and poverty. The main elements of the Industrial policy 1977 were:

Development of small scale sector

As against the 180 items in the list of reservations operating earlier, the government expanded it to 807 items by May 1978. The small scale sector was further classified into three categories as cottage industries, tiny sector, and small scale sector.

The government established District Industries Centres (DIC) in each district to provide all the services and support required by small and village entrepreneurs, under a single roof. A separate wing of IDBI was established to fulfil credit requirements of small scale industries. Khadi and village industries were revamped.

Areas of large-scale sector

The industrial Policy prescribed the following areas for the large scale sector.

- i) Basic industries, essential for providing infrastructure as well as development of small scale and village industries, such as steel, non ferrous metals, cement, oil refineries;
- ii) Capital goods industries for meeting the requirements of basic industries as well as small scale industries;
- iii) High technology industries which required large scale production and which were related to agriculture and small scale development such as fertilizers, pesticides, petrochemicals, etc, and
- iv) Other industries that were outside the list of reserved items for the small sector and which were considered essential for the development of the economy such as machine tools, organic and inorganic chemicals.

Large business houses

The Industrial Policy of 1977 stated that funds of the public sector financial institutions and banks should be used for the growth of the small scale and medium scale units. Large business houses have to rely on their internally generated resources for financing new projects or expansion of existing ones.

Public sector

The Janata government felt that the public sector should not confine its role to strategic and heavy goods, it should also get into producing consumer goods. The public sector should make available its expertise in technology and management in developing a wide range of ancillary industries, and contribute to the growth of decentralized production.

Approach towards Sick units

Though this policy supported the efforts to revamp the sick units, it clearly mentioned that the process of continuously financing sick units would not continue indefinitely.

Assessment of Industrial Policy 1977

This Policy was regarded as a mere extension of the 1956-Policy. It failed to achieve its objectives. The growth of big business houses could not be restricted. The government could not succeed in producing consumers'

goods. Although development of small scale and cottage industries was the main thrust, the relative emphasis on the sector had in effect, gone down. Only about 2 per cent of the total plan outlay had been earmarked for the development of small-scale and cottage industries compared to 3.8 per cent in the Second and Third Plans.

Self Assessment Questions

State whether the following statements are true or false.

7. The thrust of the Industrial Policy of 1977 was on effective promotion of Cottage and small industries.
8. The concept of District Industrial Centers was introduced for the first time in the Industrial Policy of 1977.
9. The Industrial Policy of 1977 was introduced by the Congress government.

9.2.4 Industrial Policy 1980

When the congress party returned to power in 1980, it liberalized the industrial policy with a view to promoting industrial growth of the country. This policy stressed the growth of infrastructure industries like power, transport, communication and finance. Thus, it chose a more capital-intensive path of development. The government decided to revive the efficiency of the public sector undertakings. The limits of investment in small and ancillary units were substantially enhanced to help their modernization. The policy emphasized the need for making public sector units more efficient and economically viable. Restrictions on the expansion of private sector industries were relaxed. Large private industries were automatically permitted to expand capacity up to 5% per annum, subject to 25% expansion in five years. The government encouraged merger and acquisition of sick units by the healthy units.

The industrial policy (1980) remained in operation till July 1991. This was the first step towards liberalization. It had no doubt proved helpful in increasing industrial development but the private sector still remained controlled by licensing controls and regulations.

Self assessment Questions

Fill in the blanks.

10. The Industrial Policy of 1980 made changes in favour of _____ business houses.

11. A more _____ intensive path of development was chosen in the Industrial Policy of 1980.

12. The Industrial Policy of 1980 was the first step towards _____.

9.3 The crisis of June 1991

The industrial policy announced in July 1991 was necessitated by the economic crisis of 1990. The country had reached close to financial bankruptcy.

- Policies tended towards protectionism, with a strong emphasis on import substitution, business regulation, a large public sector, and central planning.
- Elaborate license regulations and the accompanying red tape, commonly referred to as 'License Raj', were required to set up business in India between 1947 & 1990.
- Five-year Plans achieved much, but also led to heavy centralisation, inefficient State monopolies in mining, machine tools, telecommunications, insurance and electric plants. India stagnated at 3.5% from 1950 to 1980.
- Imports were subject to excessively high tariffs.
- Foreign investments were subject to stringent restrictions.
- Country was moving towards debt-trap
- In 1991, amount of interest liabilities rose to 36.4% of total govt. expenditure.
- Foreign exchange reserves fell to such a low level that they were barely adequate to meet the import requirement for a few weeks.
- Rise in prices.(more than 16%)
- Most of the public sector units were undergoing severe losses.
- First Gulf war caused hikes in oil prices which caused a major balance of payment crisis for India.

There was no alternative to borrowing from the IMF and the World Bank for tiding over the crisis. The IMF and WB agreed to provide financial help on the condition that India would make drastic changes in her economic policies. The government had no option but to accept them. It announced the New Economic Policy (NIP) on July 24, 1991 along with other economic reforms.

9.4 Objectives of New Economic Policy 1991

- To pull the country out of the economic crisis.
- Accelerating the rate of growth.
- To transform the economic system towards a Market economy.
- Modernisation of the industrial system of the country.
- Connecting Indian economy with the world economy.

The thrust of the Policy was towards creating a more competitive environment in the economy and removing the barriers to entry and growth of the firms. The government initiated a variety of policies which fall under three heads; Liberalisation, Privatisation, and Globalisation.

9.5 Emphasis of NEP on Liberalization.

Liberalization means to free the economy from the direct and physical controls imposed by the government on the private sector. Prior to 1991, the Government had imposed several types of controls on the Indian economy. The various types of controls were Industrial licensing system, import license, foreign exchange control, restrictions on investment by big business houses, etc. The rules and laws aimed at regulating the economic activities, in the previous policies became major hindrances in the growth and development of the private sector. These controls had given rise to corruption, undue delays and inefficiency. Liberalization was introduced to put an end to the restrictions and open up various sectors of the economy.

In the industrial sector, the following reforms were undertaken.

i) Abolition of industrial licensing

Private sectors have been freed, to a large extent, from the clutches of licenses and other restrictions. Initially, industrial licensing was abolished for all projects except 18 industries – coal and lignite, petroleum and its distillation products, motor cars, paper etc. With the passage of time most of these industries have also been delicensed. As of now, with the exception of 6 industries related to security and strategic concerns, (liquors, defense equipment, dangerous chemicals, cigarettes, electronic aerospace and drugs and pharmaceuticals) the new Policy has abolished all industrial licensing, irrespective of the level of investment. In fact, the industrial licensing was the main source of corruption and bureaucratic delays earlier. There are certain

locational guidelines designed to discourage the clustering of industries, particularly the polluting industries in the periphery of major urban areas.

ii) Abolition of phased manufacturing system

Phased Manufacturing Programme (PMP), has been abolished for all new industries and subsequently for all existing projects. Earlier, this programme intended to force indigenization in manufacturing. The abolition would remove a major irritant that a large no. of firms felt, i.e., discretionary power and govt's interference in business decisions.

iii) Removal of Investment control and restructure of the MRTP Act.

Under the Monopolies and Restrictive Trade Practices Act, all firms with assets above a certain size (100 crores since 1985) were classified as MRTP firms. The principal objective of the Act was prevention of concentration of economic power and control of monopolies. There were many restrictions on such firms as they were permitted to enter into selected industries. In addition to control through industrial licensing, separate approvals were required by such firms for any investment proposal. This restricted the growth and diversification of Indian industries. Companies like TISCO, TELCO, HINDALCO, AND Ranbaxy, which though having the capacity to become global players, remained confined to India, producing sub-standard goods. In 1991, the MRTP Act was restructured and restrictions were removed with respect to new undertakings, expansion, amalgamation, merger, takeover etc. The capital investment limit (100 crores) has been removed. Thus the constraints imposed on growth and restructuring of large business houses were removed.

iv) Removal of Mandatory Convertibility Clause

Under the convertibility clause, the financial institutions financing the industrial project had an option of converting their loans into equity, if they wanted to do so. Although this option was not often exercised, it was considered to be a hanging threat of takeover by the financial institutions. The new economic policy has removed the convertibility clause from the lending conditions of the financial institutions.

Self Assessment Questions

13. Which of the following statement is correct about the New Economic Policy 1991?
- a) It made it compulsory for the industries to obtain license for all projects.
 - b) It abolished licensing for all projects except 18 industries of strategic and security importance.
 - c) It gave dominant position to the public sector.
 - d) None of the above.
14. At present there are only _____ industries for which licensing is compulsory.
- a) 18
 - b) 10
 - c) 6
 - d) 9
15. Under the New Economic Policy, 1991:
- a) The mandatory convertibility clause is applicable to all term loans.
 - b) The mandatory convertibility clause is applicable to term loans of more than 10 years.
 - c) The mandatory convertibility clause is applicable to term loans of less than 10 years.
 - d) The mandatory convertibility clause is no longer applicable.

9.6 NEP and Privatization

Privatization means contracting the role of the public sector and encouraging the expansion of the private sector. The New Economic Policy centers around the following major measures to reform the public sector enterprises. These reforms are:

1) Policy of Dereservation

Industrial Policy Resolution 1956 had reserved 17 industries for the public sector. The industrial policy of 1991 reduced the number of such industries to eight. Subsequently, the number of industries reserved exclusively for the public sector was reduced to three. These three industries are, (i) Atomic energy, (ii) Specified minerals, (iii) Railways. However, the public sector will be allowed to enter into areas not reserved for it, for healthy competition.

The performance of the public sector was far from satisfactory. Most of the public sector units were running under severe losses. Political interference, excessive labour and trade unionism, poor project management, red tape, socialist objectives etc, led to the poor performance of the public sector units. Priority to the public sector was given earlier in the hope that it would help capital accumulations, industrialization and removal of poverty. But none of these objectives could be realized.

2) Policy Towards Sick Public Sector Undertakings

The sick public sector enterprises were referred to the Board of Industrial and Financial Reconstruction (BIFR) for advice regarding revival or to close down. This scheme was used earlier only in case of sick private sector enterprises. 262 cases of public sector units (both central and state) were referred to BIFR up to December, 2001. BIFR sanctioned only 38 cases for revival. This means that the government has assisted only these 38 public sector units to make them viable units.

3) Memorandum of Understanding

It was a contract between the government and public sector undertakings. The main purpose was to improve the performance of the PSUs. The objective was to grant autonomy to the public sector enterprises by reducing the quantity of control and increasing the quality of accountability. The number of public sector enterprises entering into MOU with the government has increased over the years. In 2000-01, 107 PSUs signed the MOU. Out of them, 49 were rated excellent, 26 very good, 12 good, 12 fair and 7 poor.

4) Disinvestment Policy

Disinvestment means selling of public investment to private entrepreneurs. The policy of disinvestment refers to selling of government's equity in public sector units in the market. It simply means that the ownership and management of these public sector units would henceforth be vested in the private sector. Under disinvestment policy, a part of the government shareholding in the selected public sector undertakings would be offered to private investors, financial institutions, mutual funds, and the general public.

The main intention was to raise resources to reduce debt burden, to provide funds for giving assistance to public sector undertakings for their modernization and to encourage ownership of private enterprises. For example, 26 % stake of the Hindustan Zinc Limited was sold to the Sterlite

group of industries in 2002 and another 18 % stake was sold in 2003. Indian petrochemical Limited was sold to the Reliance group of industries.

The disinvestment programme was started in 1991-92 but the disinvestment carried out so far has been half-hearted. The targeted amount of disinvestment during the 14 year period (1991-92 to 2004-05) was Rs. 9, 96,800 crores and the actual realization amounted to Rs. 47,800 only (around 48 per cent of the target). Moreover, the amount realized through disinvestment has been too insignificant to affect the structure, management and working of public enterprises.

The government has carried out the entire exercise of disinvestment in a unplanned way. Funds raised through disinvestment have not been used to reduce debt burden and to provide financial assistance to public sector enterprises for their restructuring. These funds are largely used to finance the budget deficit. It is like selling family gold to meet luxury expenses.

Activity

Find out some more industries where Privatization has taken place.

Self Assessment Questions**Choose the correct word from the options given**

16. _____ refers to the transfer of assets from public to private ownership.
- a) Globalization
 - b) Privatization
 - c) Disinvestment
 - d) Liberalization
17. At present only _____ industries are exclusively reserved for the public sector.
- a) 5
 - b) 7
 - c) 3
 - d) 8
18. The government had to opt for Privatisation because the _____ sector was not efficient.
- a) Private sector
 - b) Public sector
 - c) Joint sector
 - d) Corporate sector

9.7 NEP effect on Globalization

Globalization is a process of integration of nations. Nations are linked together economically and socially by trade, investments and governance. It means opening up of an economy to the other economies of the world. In simple words, it is the expansion of economic activities across political boundaries. As a result of globalization efforts taken by India we find all types of goods available here. For example, Lee cooper shoes, Reebok –T shirts, Coca-Cola and Pepsi, Intel's Pentium etc., have flooded the Indian market. Following policy measures have been taken since 1991 towards globalization.

Import liberalization

The import licensing system has been abolished. Free trade of all items except negative list of imports and exports has been allowed. Custom duties have been drastically cut down. All restrictions and controls on foreign trade have been removed. The peak rate of custom duty (on non-agricultural goods) has been brought down from 150 percent in early 90s to just 15 per cent in 2006-07 budget. In addition to the phased reduction of import duties, India, being a member of the World Trade Organisation (WTO) has totally removed the quantitative restrictions on foreign trade (maximum limit of quantity of import) since April 2001. This has made India's trade with other countries freer than before.

Flow of Technology

As part of globalization policy, free flow of foreign technology to the Indian industries is permitted. In order to ensure adequate technological competence, adequate incentives were provided for technology imports. Indian firms can now enter into agreement with foreign firms of their choice for import of foreign technology.

Foreign Investment Policies

Prior to 1991, foreign investment in India had been subject to various restrictions. The new economic policy liberalized this after 1991. The government has taken a number of measures to encourage foreign capital in India. The Foreign Direct Investment up to 26%, 49%, 51%, 74%, and even 100% has been allowed in different industries. These include drugs and pharmaceuticals, hotels and tourism, airport, oil refineries, constructions and maintenance of roads, ports and even more. FDI approvals are subject

to sectoral cap. It is 20% (40% for NRIs) in banking sector, 51% in non-banking financial companies, 40% (100% for NRIs) in domestic airlines, 24% in small scale sector, 51% in drugs/pharma industries, and 100 % in petroleum. Foreign direct investment is permitted now to enter in increasing number of industries and infrastructural sector.

Convertibility of Rupee

The most important measure for integrating the economy of any country is to make its currency fully convertible. It means allowing the currency to determine its own exchange rate in the international market without any official intervention. India achieved full convertibility on current account in August 1994. Current account convertibility means freedom to buy or sell foreign exchange for current transactions. Current transactions means payment in connection with foreign trade, payments due as interest on loans and income from other investments, remittances for family living expenses, etc. Certain steps have also been taken towards capital account convertibility. Capital account convertibility means free movement of capital from India to different countries across the globe. Full convertibility of capital account in India will still take many more years.

Let us compare the situation in India before and after liberalization as per table 1:

Table 1

Pre liberalization	Post Liberalization
1. Aim was to attain a mixed socialist economy. 2. Excessive government intervention. 3. More importance was given to nationalization. 4. Scope of public sector was expanded by reserving more number of industries reserved for the public sector. 5. Industrial licensing was the rule. 6. Foreign investment allowed only in selected industries with a ceiling of 40%. 7. Restrictive policy towards foreign technology.	1. Aim was to attain a market led economy. 2. Minimum government intervention. 3. More importance was given to privatization. 4. Scope of public sector has been reduced drastically by reducing the number of industries reserved for the public sector. 5. Licensing is an exception. 6. Foreign investment allowed in a large number of industries, including up to 100% of equity in many of them. 7. Liberal policy towards foreign technology.

Activity

Find out details of the main organizations which facilitate globalization.

Self Assessment Questions

Choose the correct word from the options given

19. _____ means integrating the domestic economy with the world economy.
- a) Globalization
 - b) Privatization
 - c) Liberalization
 - d) Disinvestment
20. The salient features of the New Economic Policy-1991 are:
- a) Liberalization
 - b) Privatization
 - c) Globalization
 - d) All of the above

9.8 Positive and Negative effects of New Economic Policy

The New Economic Policy was introduced after the crisis of 1991 to make industry more competitive globally and to open up the Indian Economy. Private sector was given more importance and it was freed from various controls. Given below are the positive and negative effects of the New Economic policy.

9.8.1 Positive effects of New Economic Policy

- Economic activities have picked up and the growth rate of GDP has shown an impressive increase.
- Stimulated increase in industrial production.
- Significant increase in government revenues and subsequent reduction in fiscal deficit.
- Greater flow of goods and services checked inflation rate.
- Substantial increase in foreign exchange reserves.(from one billion\$ to more than 300 billion \$)
- Monopoly markets have been converted into competitive markets.
- India has been recognized as an emerging super power.
- Output has grown rapidly in service sectors like communication, insurance and information Technology.

- Infrastructure sectors have been opened to competition, such as telecoms and civil aviation.
- Private sectors have proven to be extremely effective and growth has been phenomenal.
- Cities like Gurgaon, Bangalore, Hyderabad, Pune, and Ahmadabad have risen in prominence and have become centres of rising industries and destination for foreign investments.
- Due to globalization, Indian consumers are benefitted with larger variety of consumer goods, improved quality of goods and in some cases, reduced prices of consumer durables.

9.8.2 Negative effects of New Economic Policy

- Focus has shifted from agriculture to industry. Consequently, growth rate in agriculture has suffered a set-back.
- All multinational corporations are focusing only on urban areas. This creates regional imbalance.
- Foreign Direct Investment prefers to enter high profit areas rather than priority sectors.
- Excessive reliance on foreign technology may have a bad effect on local initiative. Indigenous skills may not get adequate scope for adequate development.
- The main emphasis has now shifted to the consumer goods sector. The performance of the capital goods sector has been very disappointing.
- The various measures to promote foreign investment and the various concessions to such investments announced in recent years have provided opportunities to the multinational corporations to penetrate the Indian economy and dominate Indian enterprises.

9.9 Summary

Let us recapitulate the important concepts discussed in this unit.

- After independence, India followed a policy of planned growth where the public sector was given a dominant position and was made the main instrument of growth.
- The Industrial Policy Resolution of 1948 and 1956 laid the foundation for a mixed economy which realized greater importance to the public sector.

- Both these policies accepted the importance of small scale and cottage industries as they are particularly suited for the utilization of local resources and for creation of employment opportunities.
- The 1977 Industrial Policy was a mere extension of the Industrial Policy of 1956.
- The Industrial Policy of 1980 intended to follow a pragmatic approach. It chose a capital-intensive path and the concept of liberalization was introduced.
- Making a sharp departure from earlier policies, the New Economic Policy, 1991 shifted the importance from the public sector to the private sector.
- Various policies of Liberalization, Privatization and Globalization were adopted to lead the country in the path of economic growth.
- As a result of these reforms, many positive changes have taken place in India such as improved rate of growth, lesser prices, more efficiency and competition.
- But failure to have economic equality, regional imbalance, threat to home industries etc., are noticed.
- To conclude we are of the opinion that the adoption of the New Economic Policy has led India in the path of tremendous economic growth with a boost to the private sector.

9.10 Glossary

- **Liberalization** – Reforms introduced to reduce government restrictions.
- **Privatization** – The policy of contracting the role of public sector and encouraging the expansion of private sector.
- **Globalization** – The policy of opening up an economy to the other economies.
- **Disinvestment** – selling of a public asset to a private entrepreneur.
- **Quantitative restrictions** – limitations on the quantity or value of a product that may be imported.
- **Fiscal Policy** – Policy relating to public revenue and public expenditure.
- **Monopoly** – The single owner.
- **Regional disparity** – When some places are more developed and some places continue to remain backward.

- **A memorandum of understanding (MOU)** – It is a document describing a bilateral or multilateral agreement between parties. In case of the new economic policy, it was a contract between the government and the public sector.
- **Foreign Direct Investment** – Foreign ownership of a country's productive assets.
- **Industrial Licensing** – Permission to either start or expand an industrial unit.

9.11 Terminal Questions

1. Explain the salient features of the Industrial Policy, 1948.
2. How had the Industrial Policy, 1956 given a leading role to the public sector?
3. State the main features of the New Economic Policy. In what sense is it new?
4. Describe the achievements of the New Economic Policy.

9.12 Answers

Self Assessment Questions

1. Mixed
2. Monopolies
3. 6, 18
4. True
5. False
6. True
7. True
8. True
9. False
10. Large
11. Capital
12. Liberalisation
13. (b)
14. (c)
15. (d)
16. (b)
17. (c)

- 18. (b)
- 19. (a)
- 20. (d)

Terminal Questions

- 1. Please refer to 9.2 for the answer.
- 2. Please refer to 9.3 (classification of industries) and explain schedule 'A' and schedule 'B'.
- 3. The main features of the New Economic Policy are Liberalization, Privatization and Globalization. It is still new because, it is different from the earlier policies. The earlier policies laid more stress on the importance of the public sector, whereas the new policy gives more importance to the private sector.
- 4. Please refer section 9.11.

Acknowledgements, References and Suggested Readings

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